2025 Dec 10 Common REPC Errors to Avoid

2026-08-11 14:33:25

00:00:08 Speaker 1
Brian didn’t waste any time. He’s in. Oh, okay, it’s being recorded.

00:00:17 Speaker 2
Okay, Common errors with the Repsy Brian. Um let me ask you this Brian. What have been the mistakes that you’ve seen people making recently on the Repsy that we need, you know, need help avoiding I mean besides making up that they have offers that don’t Existum.

00:00:38 Speaker 3
I don’t know. I’ve got to think about it. I mean, Most of the errors I end up seeing is like like putting in the buyer wrong or the seller wrong. I don’t, I mean, i don’t it’s the i think The iterations have gotten better. I think you may have more info, i mean have more insight than i would on that.

00:01:00 Speaker 2
Okay, yeah, a couple of things I wanted to start withum first of all, Are dealing with the earnest money. And, this came up because we had a client who was fifty thousand dollars, earnest money is what they were going to be providing. So it was put into the contract, It would be fifty thousand dollars earnest money in the form of a check or wire transfer, which is what we usually do. Except that the bank wouldn’t.

00:01:30 Speaker 2
A $50,000 wire transfer. There are a lot of fees we have to pay and the sender and the seller or excuse me, client had to pay. So they decided, well, rather than do the wire transfer, they would use a cashier’s check. Well cashier’s checks are acceptable. Lenders tend to frown on them a little bit because it’s harder to check the seasoning on the money. Where did the money come from for the cashier’s check? But they’ll take them. Just know that it could become a lending issue. Well, then we got a message that, well, really what they want to do is take $30,000 as a cashier’s check. And this is a buyer that’s out of state. So, can they mail us a cashier’s check and then send and then make arrangements for 20,000 in cash?

00:02:29 Speaker 2
No, no, can’t do it. As a brokerage, we can’t handle cash. And, it would have been a

violation of the contract to walk in with cash. It was a lot messier than it needed to be if the client had just followed the directions, right? The first time. And, of course, every day that there's delays we're getting closer and closer to the four calendar days.

00:02:59 Speaker 2
So if you've got clients who are looking at using a wire transfer, let them know that it's not so much an error in the contract. It's, it's an aspect that they need to understand that if they're going to use a wire transfer for their earnest money, if they're putting five thousand dollars earnest money, they're going to be paying a wire transfer fee as well. Fifteen or twenty dollars fifteen to twenty dollars typically depending on the bank that's doing the wire transfer.

00:03:29 Speaker 2
They need to plan ahead for that. And it's not considered received until we have the receipt on our end. So, if they go in the day, it's due and try to do a wire transfer, you know, They need to understand that we don't actually have it until we have the receipt on our end. And that sometimes could be the next business day. So plan ahead, especially if it's a weekend. Um, If holidays or weekends are going to get in the way of those four calendar days, Go ahead and put an addendum in there initially that extends that so that they've got time to take care of it. We had another question come up yesterday, and this is one I'd love to hear your take on. Keaton sent a text message asking, they're stating that the title company had informed the buyer that.

00:04:27 Speaker 2
They could hold the five thousand dollars earnest money, one deposit of five thousand dollars for five contracts. And of course he wants to know, well you know can we do that? What I didn't find out is what was that five one thousand dollar deposits or was he expecting. He'd written $5,000 earnest money on five different contracts and just wanted to put $5,000 in once. And the title company told him, sure. My response was, uh no. Not unless it's in writing that that $5,000 covers all five. Otherwise it violated the contract because those are five separate contracts, five separate commitments for $5,000.

00:05:25 Speaker 2
And Marty had responded something similar as well. Unless you've got an addendum that states that five thousand is for all five, no, we're not doing it. And my other concern was if he defaults on more than one contract and it's five thousand for each. And the title company's only holding five thousand, Then the sellers are going to be suing pretty quick to get their five grand.

00:05:54 Speaker 2
The other thing we've seen come up lately has been paragraph 1.1 with the included items. And I had one come up that I have not had happen before. We

know that it says right in here, all window coverings, curtains, drapery rods, window blinds, shutters, windows screen doors storm doors windows awnings all the stuff that's mounted. Right, there are attachments. Apparently, it was an ugly divorce for the seller's side. They cleaned out the house when they moved out. Joel's buyers walked in ;. They took all the mounting hardware and all of the rods out of the closets.

00:06:52 Speaker 2
Now, were those included or excluded? Well,

00:06:59 Speaker 3
And you bring up a good point, Darren. And, this is what I see quite often is and mainly kind of old school agents do this, but in other included items, they'll throw stuff like curtains, draperies, window blinds, ceiling fans. It's already included. You don't have to write it in other as well. And I see that, I see that quite often, and I am just sitting here going," What a freaking waste of time." Just go forward.

00:07:34 Speaker 2
Yeah, you are wasting my time and it's redundant in this case. You know Joel says," W ell do I just spend more of my clients to get the to go buy new ones?" I said, no, you call the listing agent. You get the money out of him because the contract also said the contract also states. That the house has to be delivered in the condition it was in when they went under contract. When they went under contract, there were rods in the and hardware in the closets. And if it's mounted to the wall, it's assumed to be included. So at this point, You know, nobody's walked away with that before or often enough that the attorneys had to add it to the list. We shouldn't have to.

00:08:22 Speaker 2
But at this point, he's just doing the best he can to try to, you know, work it and pass for his clients. But now they're walking in and there is stuff missing. We actually had a client who showed up to move in, and the mantle over the fireplace was gone. The hardware was still sticking out of the wall; there was no mantle there. Their agent called the listing agent, "Well, what is going on?" They said, "Oh, well, They told me it was like a family heirloom that grandpa made, and they took it with them." But the original one's out in the garage. No, that's not not the way it works. You, you don't walk off with something mounted to the wall unless it's specifically excluded. Landscaping is also an issue. Um and you know the again, you don't go dig up the flowers or dig up the trees and move them.

00:09:23 Speaker 2
Water rights. How often have you had to deal with water rights, Brian?

00:09:29 Speaker 3
I've only had one that was a water right.

00:09:32 Speaker 2
Okay, was it water rights or water shares?

00:09:35 Speaker 3
No, it was water rights, not shares.

00:09:37 Speaker 2
So it was a well on the property.

00:09:41 Speaker 3
It was shared between four houses.

00:09:46 Speaker 2
One well, four houses. Okay. Yeah Was it.

00:09:51 Speaker 3
Yeah we got in there, Involved just to make sure it was done right, butum, cause there were some nuances associated with that, but.

00:09:59 Speaker 2
Right. And that that makes sense to make sure that everything's covered. Was the well on their property or was it on a different property?

00:10:07 Speaker 3
So it was kind of an interestingum. It was kind of like uh straddling two different properties. Wow. Yeah, it was a super unique situation. It was in Mount Pleasant.

00:10:24 Speaker 2
Okay, see, I had one out in Tara last year that the the well served two homes side by side. The well was basically at the property line, you know, kind of straddled the property like yours was, But the pump house itself was on the property. My client was purchasing, and it was VA. And interestingly, The only thing the VA required was that they had the sort of annual certification that because it was the water for the house, not irrigation water, it had to have the annual certification through. The board of health that the water was clean and safe for consumption. I've also had a well on a property out in Helper.

00:11:13 Speaker 2
And again, the lender it was VA, so the lender required that certification. Um, have you dealt with any water shares where with the transfer of water shares? No. Okay. How familiar are are you with those?

00:11:30 Speaker 3
Um, I am fairly familiar. I bought water shares when I bought my house in St George. Makes sense. We had to do a transfer of water shares for that. It wasum first property in, Saint George with a house on it, so there was some other specific things,

00:11:46 Speaker 2
But okay. And I've dealt with that a couple of times. That's where title took care of it and made sure the transfer was done properly because a lot of agents aren't aware that the water shares can be retained by the owner. Water shares are separate; they're personal property and so they can be excluded. The one I had that was the most unique was actually up in Holiday. Because the homes were built right after World War Two on what was originally orchards, So there was still the original pioneer era canal down the middle of the old orchard, and that's how everybody watered their lawns. And. So they all had water shares in this hundred plus year old water company that just ran that one little canal down the middle of the neighborhood.

00:12:39 Speaker 2
I think the next the next big mistake, we see paragraph two is just making sure the math adds up right. Thank you, Sean.

00:12:48 Speaker 3
Yeah, one other I was thinking specifically on included items. Yeah, This happened to me twice whereum not to me as representing the seller. But as the buyer, we've put an offer in where we've included the refrigerator. Um, We've thrown it in there, although the the MLS she had it listed that it was excluded. We wanted so in our offer we put it as an inclusion. And um in both cases the seller's agent didn't notice it. Um and I had to like, We got close the first time. I didn't even say anything, and we had a little bit of an issue when we took possession of the house, their refrigerator wasn't there anymore. But the second one.

00:13:35 Speaker 3
I mentioned it to ahead of time because I learned my lesson to say, "Hey, just so you know, this contract includes that refrigerator inclusion." Let your clients know. Both agents didn't look at that. So if you are representing a seller and you see an offer come in, make sure to read the whole contract. Don't just look at the purchase price and say this is what it's at. See, if t here is anything included in there To, your point about the water shares and things like that, I think a lot of times as sellers when you are getting multiple offers, you get really excited. Look into the the details of the of the contract because there might be something that the agent threw in there that he didn't know about.

00:14:12 Speaker 2
On the on the net sheet that I use as a listing agent, I actually have a page where it has, the inclusions listed. So that if somebody tries to pull that, we can say to your client and I can say to my client look, somebody's asking this be included as well. Are you ready to go buy another fridge? And I've talked to agents who've had who've admitted that, yeah, they didn't catch that either. And they had to go buy their client a fridge because they messed up. As listing agent, you are responsible for reading that contract to make sure everything's right. That can also get messy if

they’re buying personal items on a separate bill of sale. I’ve had lenders who have come back and said, “Look, we don’t want the basketball standard or the hot tub.”

00:15:00 Speaker 2
Things like that, that included as part of the inclusions on the refi because they’re not attached, they’re not permanent, And the lender didn’t want to did not want to include those into the loan amount as value to the home. Hot tubs don’t sitting on the back porch don’t really add value. So we had to go and do this separate bill of sale. Yeah, fridge always mark check if they marked fridge. Um, paragraph two. I think our biggest thing is make sure the math is right, especially if you are doing seller financing. What amounts being financed? Um, We usually I usually recommend that any any places that are going to be blank. So for example, the additional earnest money or seller financing.

00:15:56 Speaker 2
If you’re not using those, put zeros in there just so that visually, You know, as as a listing agent I’m looking at make sure that is there something there or not. If it’s zeros, it’s pretty obvious. This one came up again recently again as well, because settlement was going to be on a late or on a midday on Friday. What is the difference between settlement and closing?

00:16:27 Speaker 2
And who and when do you get possession? See, settlement is when everything’s signed, all the paperwork’s delivered, all the money is delivered. That could occur on a Friday. But, how often do we have when it all that gets done Friday, but it hasn’t actually been recorded by the county yet? See, that’s closing and that can Under contract, we have up to four days. Honestly, that’s why I really try to avoid Friday signings. Just because if something goes wrong, it’s going to be Monday before it’s done. And, we’ve had buyers that just assumed they were going to get to move in that day. And so they got all their friends lined up, they got the truck lined up, They got the beer and pizza lined up, and then they find out they can’t move in.

00:17:29 Speaker 2
It’s also messy when holidays. And once you get outside of the Wasatch Front, it can also depend on the county recorder. Juab County Recorder only works half days on Thursdays and isn’t open on Friday. My client that was selling, who lived out of state, blew a cork when he found that out. I don’t have control over when the recorder’s office is open.

00:18:00 Speaker 2
I've noticed that Stephanie Ferguson on Real Advantage with her team has been sending out with her emails this month to go out to our our clients, reminders of the days that the holidays and the days that, The county offices are going to be closed so that you make plans around that. So they understand. Just because we signed on. Monday at three in the afternoon doesn’t mean I’m getting keys by

Monday at five. In fact, probably not. Ah, HOA other entity fees due upon change of ownership. What are those? And who pays them?

00:19:00 Speaker 2
See, There is typically two different fees that can be charged by the H O A. There is the reinvestment fee, Which is dollar amount or percentage of purchase price that goes into the operating account. But then there is oftentimes that separate fee, it's the H O A transfer fee, Which is the fee they charge to do the paperwork to set up the new H O A account.

00:19:25 Speaker 2
And I've seen some of those HOA reinvestment fees. The state of Utah does not limit the amount depending on when the property was built. There now are limits on the amount of what that HOA reinvestment fee can be as a percentage of the purchase price, but only after HOAs that were established.

00:19:51 Speaker 2
Three years ago, so some of these older HOAs, I showed a home in the original Eagle Mountain years ago. They had a one and a half percent of purchase price was the HOA transfer fee. And even when the market was super super busy, the sellers couldn't understand why weren't they selling? Well, Nobody wanted to have to cough up another one and a half percent to buy the house.

00:20:20 Speaker 2
Those are now limited, and if there are questions about them, the state now has an HOA Ombudsman position through the Division of Real Estate. That, if an HOA or someone who's looking to buy into an HOA or move into an HOA have questions about the HOAs, CC and Rs or contracts, they can go to the state ombudsman for an opinion on what to do. It's a new office; it's just getting started. They just Opened it up a couple months ago, but if you have questions about an HOA, especially about transfer fees and are they within the guidelines, contact the ombudsman's office and say here is what I am being told. It's also something that we need to as listing agents to make sure it's accurate on the listing. I've pulled up condos or townhomes in the same development. I have a whole you know two or three active listings side by side.

00:21:18 Speaker 2
And have two or three different answers on what the transfer fee is. You know, do a little bit of homework, make sure it works. Okay, the compensation. This is one of the few times in this in this new contract that Curtis Bullock, the other Bullock we all listen to, the attorney that's head of the Um, Salt Lake Board has said, be very clear about this dollar percentage or dollar amount here because they had a client, an agent who put a percentage or and they put zero put zeros in the dollar box and their attorney argued.

00:22:17 Speaker 2
Unfortunately, successfully that the contract was stated it would be percentage or zero dollars, and their buyer was opting for the zero dollar amount. And the seller was opting. The seller went, “Oh, wait, what?” The agent could not enforce this to have the seller. Compensate because they had a zero dollar in there. So if you’re doing a percentage, put does not apply. If you’re doing a percentage or a dollar amount, put the dollar amount but does not apply in the percentage. Don’t leave a zero in those spots because, unfortunately, the attorneys at the UAR didn’t see this one coming. And it’s been successfully litigated. Same as on the buyer broker agency agreement and the ERS.

00:23:15 Speaker 2
If it’s a dollar amount or percentage, Make sure one has the answer, and one is marked " do not apply ", so you don’t get caught. And one thing that has changed with VA is that prior to SITSA, prior to August of last year, VA buyers were not allowed to pay. Buyer agent compensation outside of closing. So if the seller wasn’t going to pay it, then the buyer, you know, then we go to our buyer and say you pay us. VA did not allow that. But with the changes from the Sitzer and the Burnett cases, VA sent out a circular that temporarily suspended that order.

00:24:09 Speaker 2
And, it took an act of Congress to remove that from the VA lender’s guidelines. So, a VA buyer can now pay buyer agent compensation outside of closing, just the way any other buyer can. I got burned on that my first year where a lender approved a VA loan, even though the contract said that the buyer was paying the compensation to our brokerage outside of closing. It went through closing. We went to get the compensation. Lenders looked at it and said, “Oh, our underwriter should have never approved that loan.” You can’t pay that outside of closing. And at the time, it was just Marty and I, And we were with a different brokerage that was a you paid your five hundred dollars flat fee. So that broker wasn’t worth his time to go after the compensation because he was only going to get five hundred dollars anyway. So I never got paid for that deal. So I’ve been you know.

00:25:09 Speaker 2
Very careful about checking the compensation agreements to make sure that they follow guidelines. Okay, another one that’s come up a lot has been seller disclosures, and I know Craig said this a lot too. If, there’s something specific about a property that you that your buyer wants disclosed that’s not already on this list, put it on the other line. And one thing that’s new that some agents aren’t paying attention to is that they need to check to see, need to verify whether or not the property is in a P I D, public improvement district. Because that’s a separate taxing district and that has to be disclosed.

00:26:06 Speaker 2
By the seller to the buyer. And we had a new construction that didn’t include that.

And, when the buyer got the title report that indicated it was in this public improvement district and how much they would be paying in taxes for 20 years as an additional tax on their property tax, it added up to about between $45, 000 and $50, 000. In additional property tax over the next twenty years. And they backed out. They said, “We’re not doing it.” You didn’t disclose it. And the seller’s agent got kind of huffy about it. And because they put a, it was new construction, they put a deposit down. They’d already had the inspection done when we got a hold of this that it was in this PID. And hadn’t been disclosed.

00:27:04 Speaker 2
The proposal that we made to the other agent was, "Look, all the buyers want out of this is the cost of their inspection. " And, the agent got kind of was new and young and got kind of happy about it. We said, “Look, the other option is because you defaulted by not providing this. This, you got like it was twenty or thirty thousand dollars, earnest money or deposit at that point that we could sue the builder for because you didn’t disclose this.” And one of the The phone conversations that occurred with her broker on the line, you could hear the broker going, “I’ll take care of this.” Basically telling her, “Quit talking. Quit making this worse.” We’re not seeing that a lot yet. But anytime you’re working with new construction, It’s now I recommend you check and make sure is it in a public improvement district? That is a separate taxing district that the developer can now create.

00:28:03 Speaker 2
To pay for roads, gutters, sewer all those improvements that they have to put in. But it obligates whoever buys the property that they’re usually on about. It’s a bond that’s purchased. And it could be up to twenty years that they’re going to have this additional cost on their property tax until that bond is paid off. All of the owners in that, you know, homeowners in that development when they sell that property, they have to disclose it as well so they could you know buy a Townhome now that’s in a PID sell it in five years. They have to disclose that there’s this additional taxing district that you’re part of. Thankfully we’re not seeing as many people marking due diligence is not a condition. That was a big mistake. People, you know, agents were recommending to buyers. When it was there was the buying frenzy, we’ll just skip due diligence and then buyers moving into houses that were a wreck.

00:29:01 Speaker 2
And, we’re suing their agents because, well, you told me not to do an inspection that would make it easier to buy the house, and it’s a rack.

00:29:19 Speaker 2
Appraisal This one’s been interesting lately. I know Brian you’ve been in on a couple of the trainings we’ve gone over appraisals that came in low. Um, When you represent a buyer, if an appraisal comes in below purchase the agreed on purchase price, what do you do?

00:29:41 Speaker 3
I mean it depends. You have theum you have your buyer's back. So many times you could kind of offer a lower amount based on appraisal price. In fact, this house that we were just talking about before we started recording. Or we pulled comps and got an eight fifty price. She's offering nine hundred. Um, I am fairly confident it won't appraise for nine hundred, and then if it doesn't, we'll adjust our offer accordingly. Yeah, but if you've got appraisal, you can always submit a.

00:30:19 Speaker 2
You can you can submit for a reappraisal. I know one of them that we used as one of our our sessions about an appraisal that came in dramatically low. That also had a number of significant errors in it. You know, no credit for the solar panels. It was only house in the neighborhood with solar panels. Wrong or incorrect data on the square footage. I mean, the appraisal came in about thirty five thousand below the contract price, which was already about twenty thousand below the initial list price. So, the seller of course wasn't going to make any changes. Lender had requested.

00:30:57 Speaker 2
Had had reached out to the AMC about the appraisal, and the appraiser refused to make any changes. So, lender can't get the loan approved. So, lender's going to lose the file. Lender supervisor because it was a conventional loan approved ordering a new appraisal. Well, we found out recently by the time all of the dust settled.

00:31:23 Speaker 2
The lender had so many frustrations with that appraiser and the errors that were made in the appraisal, and the fight they had with the AMC appraisal management company. The AMC dropped that appraiser as one that they would send appraisals to ; basically fired him because there were so many errors in the appraisal. We had our buyers back, yeah, Our buyer would have loved to have gotten in the house for thirty five thousand less, but knew they couldn't; seller couldn't do it. Um.

00:31:56 Speaker 2
And you know, we we if it's come if there's something that happens, let's take a look at it. Let's see what why it's coming in the way it is. Appraisers are human beings and have their own opinions, but that doesn't mean they don't make mistakes. One that gets a little bit of heat can get pretty heated is buyer's right to cancel after finding the due diligence. Before financing an appraisal, if a buyer cancels in that time period, what grounds do they have for canceling? What reasoning can they use? Any. Not really.

00:32:47 Speaker 3
Well, they have to use the financing and appraisal reasoning, however. They can if the house appraises for a hundred thousand dollars more than what it's worth, they can turn around and say, "I don't like that," and they can cancel. You don't have to prove. There is nothing in the Repsy that says you have to prove that they're

canceling specifically for a financing or appraisal reason. So yes, technically they've got to cancel for a financing appraisal reason, but you don't have to prove it. There is no way.

00:33:21 Speaker 2
And that's and that's where it can get, you know, If the seller wants proof that they didn't qualify for the loan or they because they can, you know, They can cancel for, you know, didn't like the loan terms or the payment or whatever. What happened, unfortunately, is that is that agents were advertising that as another chance to get out. Like a second due diligence backup. And and there were a number of cases. Ethics cases, as well as just straight up litigation, hit the board over: "Hey, you know, I want proof that they didn't qualify for the loan," or "Where's the proof that the appraisal came in low?" "Where's the proof that they're actually using a financing reason for canceling?" Because it says: "Buyer fails to obtain the loan," meaning the proceeds of loan have not been delivered. And that's other thing is there have been cases.

00:34:19 Speaker 2
Happened here in Utah. It's one of those glaring, I cannot believe somebody did that. That was brought up in an ethics class I took. Buyers and sellers signed on Friday afternoon. Home was vacant. Seller get in writing gave written permission for buyers to put buyer's personal property, In the garage of the home, but not take possession until after closing, which was going to occur on Monday. Mindy's here.

00:34:57 Speaker 4
Woo! Can you stick this on your I am guessing it's your desk or mine? Yep. I can stick it down there for you. Okay, this is her This is a small thank you and merry Christmas. Be careful there once my excited dog Thank you You are welcome No,

00:35:14 Speaker 2
We're doing fine We're all about done, Anyway, in this particular case, it was really the mistake. Thanks. The mistake that was made was that the buyer agent just handed the keys to the buyers and said, "Just move your stuff in the garage. Don't do anything until Monday." Didn't supervise what went on with the house. Well, Buyers decided since they were going to go ahead and remodel bathrooms and kitchen anyway, they'd just get a head start over the weekend. And started tearing apart the bathroom, tearing apart the kitchen. Went to Home Depot and Lowe's, Racked up huge credit card bills at Home, Depot and Lowe's buying all the stuff they were going to put in. Put in the garage with the rest of their stuff. Monday morning underwriting picks up the loan for the last final approval, does their last credit check, And now all of a sudden, they've got all these new credit dings and their debt - to- income ratios. Now was then all out of whack.

00:36:12 Speaker 2
And they no longer qualified for the loan. They can't close, so closing didn't happen.

They got rejected for the loan, but they'd already done physical damage to the property. Listing agent got sued for letting them move in. Buying agent got sued for not supervising the transfer of the property. Of course, the buyers themselves got sued. For the damage they'd done to the property, buyers of course had given up their apartments, so they got nowhere to go. But they didn't own the house; it was a huge mess. I have only once had clients put their stuff in the house before over the weekend, and it was within an indemnity agreement, and all and that was it.

00:37:10 Speaker 2
We put their stuff in the garage and that was it. You go stay somewhere else. I have paid for um portable, you know, one of those pods on the front on the street in front of us, A new construction and and it was a military move, and the military movers got there before the construction was done. So we just moved all their stuff into storage out front for five days. If they don't own it, don't let them in it.

00:37:38 Speaker 2
Don't just hand the keys and say, "Good luck. I got to go to dinner." Supervise that transfer. The last one down here, I've also run into changes during the transaction where the seller makes alterations to the properties, like things like walking off with a mantle, changing the lights.

00:38:07 Speaker 2
Um, anything like that. If it's a an Airbnb with short term rentals, new rentals have to be approved by the buyer. The buyer has what's considered equitable title, has a right to the property and needs to know what's going on.

00:38:38 Speaker 1
Do you have any other questions? All.

00:38:52 Speaker 2
Right. It's just the two of us, so I'm gonna I've got to scan some. Let me do this. Stop share And.

00:39:14 Speaker 1
Oop, hold on. Wrong button.